

Notes: Lowry, Wang, and Wei (RFS, 2026)
Are All ESG Funds Created Equal? Only Some Funds Are Committed

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1 Big picture

- **Question.** Are ESG funds homogeneous, or do some ESG funds have stronger incentives to engage with portfolio firms and thereby generate real ESG improvements?
- **Core hypothesis.** The paper’s **Value-Driven ESG Engagement Hypothesis** says that ESG fund managers who view ESG policy as a value driver and have high incentives to engage will monitor, hold, engage, and influence portfolio firms more actively.
- **Key classification.** ESG funds are split into **Committed ESG funds** and **Other ESG funds**. Both groups hold similar portfolio weights in high-ESG firms, but committed funds have higher incentives to engage as measured by the Lewellen and Lewellen incentive-to-engage measure.
- **Important design feature.** The comparison is not between ESG funds and non-ESG funds. It is within ESG funds that have similar ESG holdings. This helps separate *portfolio greenness* from *commitment to engagement*.
- **Main fund-behaviour result.** Committed ESG funds acquire more ESG-related information, hold firms longer after negative ESG news, ask more ES questions in earnings calls, vote more independently, and avoid one-size-fits-all voting.
- **Main real-effects result.** Firms bought and intensively engaged by committed ESG funds after severe ESG incidents experience larger subsequent declines in ESG risk. A separate Morningstar Sustainability Rating shock shows reductions in both RepRisk Index and Trucost emissions when committed funds were overweight before the shock.
- **Main performance result.** Committed ESG funds do not outperform other ESG funds on the full portfolio. Their outperformance is concentrated in long-held positions, high-engagement stocks, and especially high-engagement stocks that subsequently improve ESG outcomes.
- **Investor-flow result.** Investors do not appear to reward committed funds with larger flows conditional on performance, suggesting that investors may not fully distinguish between ESG funds that merely hold ESG stocks and ESG funds that actively engage.
- **Economic takeaway.** ESG impact depends less on simply holding high-ESG firms and more on whether fund incentives make engagement privately valuable. The paper reframes ESG investing as a problem of fund incentives, not only fund labels.

2 Data and measurement

2.1 Fund, holdings, and ESG data

- The sample covers January 2013–December 2020 because MSCI expanded coverage of smaller U.S. firms only in late 2012.
- Firm ESG ratings come from MSCI ESG Ratings. Each quarter, stocks are sorted into ESG-score deciles, and stocks in the top three deciles are defined as **high-ESG stocks**.
- The fund sample is actively managed U.S. domestic equity mutual funds, excluding ETFs.
- Fund characteristics and returns come from the CRSP Survivor-Bias-Free Mutual Fund Database.
- Quarterly fund holdings come from Thomson/Refinitiv S12 and are merged to CRSP fund data through MFLINKS.

Interpretation: The paper deliberately holds constant how much funds invest in high-ESG firms. The core question is what funds do *after* they hold those firms.

2.2 Information acquisition, engagement, and impact data

- **Information acquisition:** EDGAR filing downloads by fund families around negative ESG news events.
- **Conference-call engagement:** Capital IQ transcripts, with 121,129 transcripts covering 5,711 unique firms, are used to identify buy-side analysts' E&S questions.
- **Voting engagement:** ISS Voting Analytics supplies mutual fund votes on shareholder proposals.
- **Risk events:** RepRisk news counts identify negative ESG incidents; RavenPack controls for non-ESG news.
- **ESG risk outcomes:** The RepRisk Index (RRI) captures incident-driven ESG risk.
- **Environmental outcomes:** Trucost provides firm-level carbon-emission measures.

Interpretation: The paper uses multiple measures of engagement and impact. This is important because any single measure, such as voting or news attention, could miss part of the engagement process.

2.3 Committed ESG funds

The main measure of fund incentives comes from Lewellen and Lewellen (2022). For fund f in quarter t ,

$$\text{Incentive to Engage}_{f,t} = \sum_{i \in E} w_{i,t} [w_{i,t} + \beta (w_{i,t} - v_{i,t})], \quad (1)$$

where:

- E is the set of stocks in fund f 's portfolio;
- $w_{i,t}$ is stock i 's portfolio weight in fund f ;
- $v_{i,t}$ is stock i 's weight in the benchmark portfolio;
- β is the flow-to-performance sensitivity.

Interpretation: The direct term $w_{i,t}^2$ captures the direct effect of a holding's performance on fund assets and fees. The flow term $w_{i,t}\beta(w_{i,t} - v_{i,t})$ captures how active overweight positions can generate additional assets under management through performance-related flows.

2.4 Classification procedure

- The paper first identifies ESG funds using value-weighted ESG ratings of holdings.
- ESG funds are ranked into terciles by ESG scores.
- Within each ESG-score tercile, funds with above-median incentive-to-engage are classified as **Committed ESG funds**; those below median are classified as **Other ESG funds**.
- This design makes the two ESG groups similar in their weight on high-ESG stocks.
- The average incentive-to-engage measure is 8.7% for committed ESG funds versus 3.5% for other ESG funds.
- The classification is persistent: the probability that an ESG fund stays in the same committed/other category four quarters later is 94%.

Interpretation: This procedure tries to avoid labeling a fund as "committed" merely because it buys green firms. Commitment means high incentives to engage, conditional on comparable ESG exposure.

3 Empirical specifications and interpretation

3.1 Validation of fund commitment

The paper validates the committed classification using prospectus text, Morningstar ESG Commitment Levels, UNPRI engagement-related reporting, and Climetrics ratings.

A simplified validation regression is:

$$Y_{f,t} = \alpha + \beta \text{CommittedESG}_{f,t} + \gamma X_{f,t} + \varepsilon_{f,t}, \quad (2)$$

where Y can be a disclosure or engagement-related validation outcome.

Interpretation: If the incentive-to-engage measure is meaningful, committed funds should look more engagement-oriented even outside the main tests. The validation results show that they do.

3.2 Information acquisition around ESG news

For EDGAR attention around ESG risk events, the conceptual event-study design is:

$$\Pr(\text{Download}_{g,i,\tau} = 1) = \alpha + \sum_{\tau} \beta_{\tau}^C \text{CommittedFamily}_g D_{\tau} + \sum_{\tau} \beta_{\tau}^O \text{OtherESGFamily}_g D_{\tau} + \text{controls} + \varepsilon_{g,i,\tau}. \quad (3)$$

Interpretation: The coefficients ask whether committed families increase their filing downloads around negative ESG news, especially severe events. A post-event increase is evidence that committed funds acquire information rather than mechanically divest.

3.3 Trading after ESG risk events

A simplified version of the trading regression is:

$$\Delta \text{Shares}_{f,i,t} = \alpha + \beta_1 \text{CommittedESG}_{f,t} \times \text{SevereNews}_{i,t} + \beta_2 \text{OtherESG}_{f,t} \times \text{SevereNews}_{i,t} + \Gamma X_{f,i,t} + \varepsilon_{f,i,t}. \quad (4)$$

Interpretation: If committed funds engage rather than exit, they should not sell aggressively after bad ESG news. Other ESG funds, if they follow a negative-screening strategy, should be more likely to sell.

3.4 Conference-call questions

The paper studies whether analysts affiliated with committed ESG families ask ES questions during earnings calls:

$$\text{ESQuestion}_{g,i,c} = \alpha_i + \alpha_c + \beta \text{CommittedESGFamily}_g + \Gamma X_{g,i,c} + \varepsilon_{g,i,c}. \quad (5)$$

Interpretation: Earnings calls are primarily financial forums. More E&S questions by committed fund families therefore indicate that they perceive ESG issues as financially relevant.

3.5 Independent voting and one-size-fits-all voting

The independent-voting outcome is:

$$\text{AgainstISS}_{f,p,t} = \alpha + \beta_1 \text{CommittedESG}_{f,t} + \beta_2 \text{OtherESG}_{f,t} + \Gamma X_{f,p,t} + \varepsilon_{f,p,t}. \quad (6)$$

The one-size-fits-all measure is:

$$\text{OneSize}_{f,a,y} = \frac{|\# \text{Votes For}_{f,a,y} - \# \text{Votes Against}_{f,a,y}|}{\# \text{Proposals}_{f,a,y}}. \quad (7)$$

Interpretation: Voting against ISS and avoiding blanket voting are costly engagement proxies. The paper interprets them as evidence that committed funds invest resources in issue-specific ESG evaluation.

3.6 Real effects following severe ESG incidents

After a severe ESG event, the paper estimates:

$$\Delta RRI_{i,t:t+h} = \alpha + \beta (\text{CommittedESGBuy}_{i,t} \times \text{HighEngagement}_{i,t}) + \Gamma X_{i,t} + \varepsilon_{i,t}. \quad (8)$$

Interpretation: A negative β means that firms bought by committed funds and engaged by them subsequently experience lower ESG risk. This is the closest event-based evidence that engagement changes firm behavior.

3.7 Morningstar shock to ESG fund ownership

The paper also uses the 2016 introduction of Morningstar Sustainability Ratings as a shock to ESG fund flows and ownership:

$$Y_{i,y} = \alpha_i + \tau_y + \beta_C (\text{HighCommittedOverweight}_i \times \text{Post}_y) + \beta_O (\text{HighOtherOverweight}_i \times \text{Post}_y) + \Gamma X_{i,y} + \varepsilon_{i,y}. \quad (9)$$

Here Y is either $\log(RRI)$ or $\log(\text{Trucost emissions})$.

Interpretation: This design helps address selection. If committed funds merely select firms that would improve anyway, then the shock should not generate stronger post-2015 improvements among firms previously overweighted by committed funds.

3.8 Fund performance

For performance, the paper estimates:

$$\text{DGTWReturn}_{f,s,t:t+12} = \alpha + \beta \text{CommittedESG}_{f,t} + \Gamma X_{f,t} + \tau_t + \varepsilon_{f,s,t}, \quad (10)$$

where s indexes subportfolios such as long holding-period stocks, high-engagement stocks, and high-engagement stocks with ESG improvements.

Interpretation: The hypothesis predicts not broad outperformance but targeted outperformance: returns should be higher where committed funds have enough time, engagement intensity, and real ESG success.

4 Identification and empirical design

4.1 What the paper is trying to identify

- The paper aims to identify whether fund incentives to engage cause different behavior and impact among ESG funds with similar ESG holdings.
- The main comparison is committed ESG funds versus other ESG funds, where both hold 39% of TNA in high-ESG stocks.
- This comparison isolates whether *engagement incentives*, rather than green portfolio composition, matter.

4.2 Why the within-ESG comparison matters

- Comparing ESG funds to non-ESG funds would confound engagement with portfolio tilts toward high-ESG firms.
- The paper ranks funds by ESG exposure and then splits them by incentives within ESG-score terciles.
- This makes the tests about the internal heterogeneity of ESG funds.

Interpretation: The design answers a sharper question: not whether ESG funds as a broad category matter, but whether ESG funds with stronger engagement incentives matter.

4.3 Threats and how the paper addresses them

- **Green stock preference:** both ESG groups are constructed to have similar high-ESG exposure.
- **Fund skill/activeness:** performance regressions control for active share, industry concentration, TNA, expense ratio, turnover, and past performance.
- **Selection of improving firms:** the Morningstar Sustainability Rating shock increases ESG fund ownership of existing holdings and helps isolate the engagement channel.
- **Unobserved family-level engagement culture:** family-level validation using UNPRI, Morningstar Commitment Levels, and Climetrics supports the classification.
- **Exit versus voice:** trading tests show that committed funds are less likely to sell after severe negative ESG news.

4.4 Limits

- The paper cannot observe all private engagement meetings between funds and firms.
- RRI and Trucost emissions are imperfect measures of ESG improvements.
- The classification depends on a proxy for economic incentives to engage.
- The Morningstar shock helps with identification, but the setting is not a randomized experiment.
- The evidence applies to actively managed U.S. domestic equity mutual funds in 2013–2020.

Interpretation: The paper's strength is the consistency of multiple mechanisms: information acquisition, trading, conference calls, voting, real effects, and returns all line up with the same incentive-based story.

5 Tables and figures

5.1 Table 1: Fund characteristics; Figure 1: Validation of committed fund classification

Read:

- Table 1 shows that committed and other ESG funds hold the same weight in high-ESG stocks: 0.39 for each group. Non-ESG funds hold 0.28.
- This equality is central to the paper’s design: subsequent differences cannot be explained by committed funds simply holding more high-ESG stocks.
- Committed funds have higher active share (0.85 versus 0.75) and higher industry concentration (0.27 versus 0.19) than other ESG funds.
- Committed funds are smaller, with average TNA of \$1.55 billion versus \$3.01 billion for other ESG funds.
- Figure 1 validates the classification. Panel A shows that committed ESG families report stronger UNPRI engagement-related practices.
- Panel B shows that committed ESG funds are more likely to receive higher Climetrics ratings, while other ESG funds are more concentrated in lower ratings.

Economic message: Committed funds are not defined by holding more green stocks. They look different because they are more active, more concentrated, and more engagement-oriented. This makes the classification credible as a measure of commitment rather than a relabeling of ESG exposure.

Table 1
Fund characteristics

	Committed ESG	Other ESG	NonESG	Committed - Other	Committed - NonESG
Weight on high ESG stocks	0.39	0.39	0.28	0.00	0.11***
Expense ratio (%)	1.12	1.00	1.08	0.12***	0.04
Turnover ratio (%)	55.79	60.44	72.83	-4.65	-17.04***
Age (year)	20.80	22.78	19.70	-1.98**	1.10
Load	0.71	0.69	0.72	0.02	-0.01
TNA (billion)	1.55	3.01	2.13	-1.46***	-0.58**
Family TNA (billion)	158.28	196.56	195.53	-38.28	-37.25
Quarterly return (%)	3.07	3.31	2.60	-0.24	0.47***
Carhart 4-factor alpha (%)	-0.51	-0.43	-0.78	-0.08	0.27***
Quarterly flow (%)	-1.41	-1.31	-1.43	-0.10	0.02
Industry Concentration Index	0.27	0.19	0.22	0.08***	0.04***
Active share	0.85	0.75	0.82	0.10***	0.03***

This table compares fund characteristics of committed ESG funds, other ESG funds, and nonESG funds. *Weight on high ESG stocks* is the weight of high-ESG stocks in a fund portfolio. *Expense ratio* is the annual operating expenses relative to AUM in percentage. *Turnover ratio* is the annual fund turnover ratio. *Age* is the number of years since fund inception. *Load* is a dummy variable indicating funds charging front or rear load fees. *TNA* is the total net assets of a fund in billion dollars. *Family TNA* is the total net assets of all funds in the fund family in billion dollars. *Quarterly Return* is the quarterly return net of fees in percentage. *Carhart 4-factor alpha* is estimated from 36-month rolling regressions. *Quarterly flow* is quarterly fund flow in percentage, estimated as TNA at the end of the quarter minus last quarter's TNA times this quarter's return, divided by last quarter's TNA. *Industry Concentration Index* is as defined in Kacperczyk, Sialm, and Zheng (2005). *Active share* is as defined in Cremers and Petajisto (2009). The last two columns report differences in fund characteristics (1) between committed and other ESG funds, and (2) between committed and nonESG funds. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

(a) Table 1: Fund characteristics

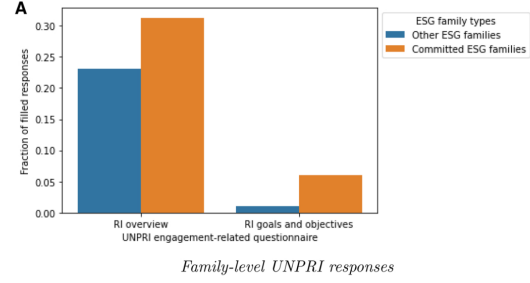


Figure 1
Validation of committed fund classification

Panel A of the figure plots ESG families' reporting assessments based on the UNPRI questions concerning engagement-related activities. From the UNPRI reporting framework in 2020, we select the questions pertaining to engagement, and we list these questions in Internet Appendix Table A1. Following UNPRI's reporting assessment methodology, for each core category, we first calculate the fraction of filled binary responses (0/1) for each family and then separately calculate the average for committed and other ESG families. For questions concerning reporting frequency, we set the response to 1 if the organization reports quarterly or annually, and 0 if the report period is longer. Panel B of the figure plots the distribution of the fund-level Climetrics Ratings across the four rating categories ranging from 4 (Most green) to 1 (Most brown), separately for committed versus other ESG funds. The proportions of committed and other ESG funds, falling into individual rating categories add up to 100%. Source: Authors' calculation.

(b) Figure 1: Validation of committed fund classification

5.2 Figure 2: Filing downloads around ESG negative news; Table 2: Fund trading following ESG risk incidents

Read:

- Figure 2 plots EDGAR filing downloads in a ten-day event window around negative ESG news.
- Around severe ESG news, committed ESG families increase attention to firm filings after the announcement, while other ESG families do not show a comparable increase.
- The difference is strongest for severe events, which are defined using bottom-quintile three-day CARs around ESG news.
- Table 2 shows that other ESG funds tend to sell after severe ESG negative news: the Other ESG coefficient is -0.013^{**} in net trades and -4.532^{**} when scaled by shares outstanding.
- Committed ESG funds do not significantly reduce holdings after severe ESG news.
- For nonsevere ESG news, the trading differences are weaker and less central.

Economic message: Committed ESG funds respond to ESG risk events with information acquisition and patience, not mechanical negative screening. Other ESG funds look more exit-oriented after severe ESG risk news. This distinction is important because engagement requires continued ownership.

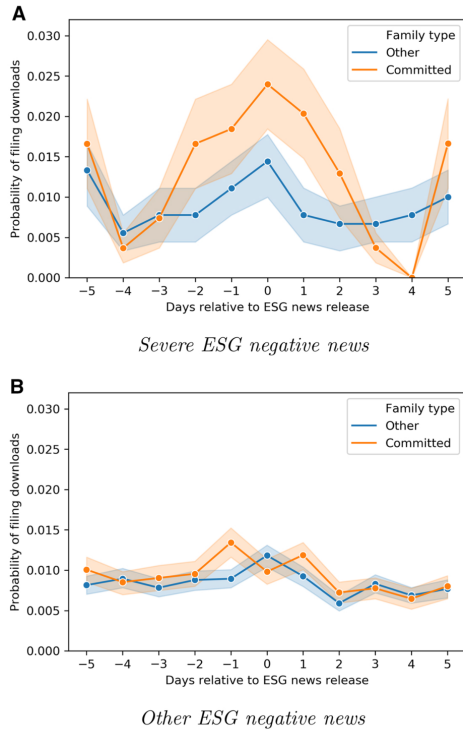


Figure 2
Filing downloads around ESG negative news
This figure plots the probability of a committed (other) ESG fund family downloading a firm's filings on EDGAR during the days surrounding ESG negative news. For each ESG news event, we calculate the three-day market-adjusted CAR of the firm around the news release and consider an ESG news event as a severe ESG negative news event if its CAR is ranked in the bottom quintile in a given quarter, and other ESG negative news event otherwise. The x-axis shows the days relative to the news release ($t=0$). The shaded area plots the 95% confidence interval. Source: Authors' calculation.

(a) Figure 2: Filing downloads around ESG negative news

Table 2
Fund trading following ESG risk incidents

	Dep var = Net trades		Dep var = Δ shares by fund type / shares outstanding	
	Committed ESG (1)	Other ESG (2)	Committed ESG (3)	Other ESG (4)
Severe ESG negative news	0.002 (0.13)	-0.013** (-2.22)	3.655** (1.96)	-4.532** (-1.96)
Other ESG negative news	0.003 (0.63)	0.003 (0.77)	-0.029 (-0.03)	1.208 (1.01)
Severe nonESG negative news	0.018 (1.30)	-0.008 (-1.29)	0.252 (0.35)	-2.549*** (-2.89)
Other nonESG news	-0.015 (-0.87)	0.007 (1.45)	0.692 (1.01)	4.032*** (4.78)
Sample	Fund-security	Fund-security	Security	Security
FE	Fund-time	Fund-time	Time	Time
Controls	Y	Y	Y	Y
N	118,535	368,318	21,902	21,902
Adjusted R-squared	.090	.033	.173	.179

This table examines how funds trade stocks experiencing ESG negative news. Committed and other ESG funds are classified using the LL incentive-to-engage measure. In columns 1 and 2, the regressions are estimated at the fund-security level with fund-time fixed effects. Dependent variable $Net\ trades_{ijt}$ is the dollar amount of fund i 's trading of stock j from quarter $t-1$ to quarter t , scaled by the fund's portfolio value in quarter $t-1$, expressed in percentage. In columns 3 and 4, fund trades are aggregated to the security level, and the dependent variable is the change in the number of shares held by a particular fund type from quarter $t-1$ to quarter t , scaled by the number of shares outstanding in basis points. ESG negative news is collected from RepRisk ESG risk incidents, and nonESG related news is collected from Ravenpack. We define a news event concerning a stock as severe if the stock's three-day market-adjusted CAR surrounding the event day is ranked in the bottom quintile in a given quarter. The independent variables include *Severe ESG negative news*, *Other ESG negative news*, *Severe nonESG news*, and *Other nonESG news*, all measured as the natural logarithms of the number of news in each category. All regression specifications control for stock characteristics including the natural logarithm of market capitalization, book-to-market, past stock performance, and Amihud illiquidity, measured as of the quarter before the news event. Standard errors are two-way clustered at the fund and stock levels in columns 1 and 2 and at the stock level in columns 3 and 4. t-statistics are in parentheses. * $p < .1$, ** $p < .05$, *** $p < .01$

(b) Table 2: Fund trading following ESG risk incidents

5.3 Table 3: E&S questions in earnings conference calls; Table 4: Independent voting

Read:

- Table 3 shows that analysts from committed ESG families are more likely to ask E&S questions in earnings calls.
- The committed-family coefficient is 0.025** in column 1 and 0.035** in column 2.
- Economically, the paper states that committed families' likelihood of asking an ES question is 3.5 percentage points higher, a 54% increase relative to the 6.5% unconditional probability.
- Table 4 measures whether a fund votes against ISS recommendations.
- For E&S proposals, committed ESG funds are more likely to vote against ISS: 0.031* using all funds and 0.059*** within ESG funds.
- The governance-proposal evidence is weaker but still positive among ESG funds: 0.042*.

Economic message: The conference-call and voting evidence show active engagement through two separate channels. Committed families ask more ESG-related questions in financial-information settings and are more willing to form their own judgments instead of following proxy-advisor recommendations.

Table 3
E&S questions in earnings conference calls

	(1) E&S question	(2) E&S question	(3) Intensity	(4) Intensity
Committed ESG family	0.025** (2.23)	0.035** (2.25)	0.006 (0.85)	0.021** (2.59)
ESG fund holding	0.017* (1.94)	0.047** (2.27)	0.000 (0.09)	0.004 (0.41)
Analysts' forecast dispersion of earnings	-0.003 (-0.47)		-0.001 (-0.44)	
Absolute value of stock returns	0.006 (0.22)		-0.015 (-0.84)	
Firm size	-0.004 (-0.40)		0.003 (0.59)	
Book-to-market	0.009 (0.36)		0.005 (0.67)	
Absolute value of SUE	0.164 (0.94)		-0.028 (-0.95)	
Sample	Criteria 1	Criteria 2	Criteria 1	Criteria 2
Firm FE	Y	N	Y	N
Quarter FE	Y	N	Y	N
Earnings call FE	N	Y	N	Y
N	3,846	978	3,846	978

This table examines whether committed families are more likely to ask questions regarding E&S issues during earnings conference calls. In columns 1 and 2, the dependent variable is a dummy variable that is equal to 1 if analysts from a fund family ask an E&S question during an earnings call, and 0 if they ask no E&S question or no question at all. In columns 3 and 4, the dependent variable is the intensity of E&S keywords, measured by the frequency of E&S keywords in a question normalized by the total number of words in the question. The independent variables include a dummy variable indicating committed ESG families classified based on LL classification, a dummy indicator that is equal to 1 if the firm is held by ESG funds of the analyst's affiliated fund family, prior quarter analyst forecast dispersion, absolute value of prior quarter stock returns, firm size, book-to-market ratio, and absolute value of standardized unexpected earnings (SUE) as of the prior quarter end. We employ two alternative sampling criteria. Under sampling criteria (1), we limit the analyses to those family-firm pairs where the fund family has asked questions about the firm at least once in the past 1-year period. If the family does not ask any questions during the current earnings call, the dependent variables are set to 0. Under sampling criteria (2), we zoom in on a set of conference calls where both committed and other ESG families have each asked at least one question during the call. Models 1 and 3 control for firm fixed effects and quarter fixed effects. Models 2 and 4 control for earnings call fixed effects. Standard errors are two-way clustered at the family and firm level. t-statistics are in parentheses. * $p < .1$, ** $p < .05$, *** $p < .01$

(a) Table 3: E&S questions in earnings conference calls

Table 4
Independent voting

	Dep var = $I_{\text{fund vote against ISS}}$			
	E&S proposals		Governance proposals	
	(1)	(2)	(3)	(4)
Committed ESG fund	0.031* (1.88)	0.059*** (2.75)	0.014 (0.89)	0.042* (1.95)
Other ESG fund	-0.032** (-2.07)		-0.022 (-1.25)	
Fund expense ratio	-1.488 (-0.49)	-0.631 (-0.17)	-1.102 (-0.37)	-4.102 (-0.96)
Fund turnover ratio	-0.005 (-0.61)	0.007 (0.59)	0.027*** (2.62)	0.028* (1.90)
Log(TNA)	0.019*** (3.92)	0.006 (0.93)	0.029*** (5.12)	0.018* (1.84)
Fund ownership of firm	0.025** (2.15)	0.049*** (2.68)	0.013 (1.26)	0.045*** (2.32)
Firm weight of fund	-0.192 (-0.84)	-0.736** (-1.99)	0.353 (1.25)	-0.262 (-0.72)
Sample	All funds	ESG funds	All funds	ESG funds
Firm controls	Y	Y	Y	Y
Agenda item FE	Y	Y	Y	Y
Industry FE	Y	Y	Y	Y
Year FE	Y	Y	Y	Y
N	26,043	8,202	149,449	47,638
Adjusted R-squared	.224	.185	.116	.089

This table examines the likelihood of fund voting against ISS recommendations. Committed and other ESG funds are classified using the LL measure. The sample includes ESG agenda items with a positive historical passing rate. The dependent variable is a dummy variable that equals 1 if a fund votes against the ISS recommendation. The independent variables include ESG fund type dummies, along with firm-level control variables, including the natural logarithm of firm size, book-to-market, return-to-assets, leverage, and past-year returns, and fund-level control variables, including expense ratio, turnover ratio, the natural logarithm of fund TNA, the fund's ownership of the firm, and the firm's portfolio weight in the fund's portfolio. It also includes agenda item fixed effects, firm's industry fixed effects, and year fixed effects. Columns 1 and 2 examine E&S proposals, and columns 3 and 4 examine governance proposals. The odd (even) columns include all (ESG) funds. Standard errors are clustered at the fund level. t-statistics are in parentheses. * $p < .1$, ** $p < .05$, *** $p < .01$

(b) Table 4: Independent voting

5.4 Table 5: One-size-fits-all voting; Table 6: ESG performance changes following severe ESG risk incidents

Read:

- Table 5 uses a one-size-fits-all voting measure: higher values indicate that funds tend to vote uniformly across proposals in an agenda category.
- Committed ESG funds have significantly lower one-size-fits-all voting: -0.034^{***} and -0.032^{***} for E&S proposals, and -0.021^{***} and -0.015^{**} for governance proposals.
- This implies that committed funds evaluate proposals more case-by-case.
- Table 6 examines RRI changes after severe ESG incidents.
- The key interaction is *Committed ESG buy* $\times$ *High engagement with firm*.
- The coefficients are negative at all horizons: -3.669^{**} at $t + 1$, -7.234^{***} at $t + 2$, -6.368^{***} at $t + 3$, and -4.747^{**} at $t + 4$.
- The low-engagement committed-buy coefficients are not significant, showing that buying alone is not sufficient; engagement intensity matters.
- The paper interprets the $t + 3$ effect as a 33% larger reduction in RRI relative to the base case.

Economic message: Committed funds do not merely support ESG mechanically. They vote selectively, and their purchases matter most when accompanied by high engagement. This links engagement behavior to real changes in firms' ESG risk profiles.

Table 5
One-size-fits-all voting

	Dep var = $\frac{\# \text{vote for} - \# \text{vote against}}{\# \text{proposals}}$			
	E&S proposals		Governance proposals	
	(1)	(2)	(3)	(4)
Committed ESG fund	-0.034*** (-3.14)	-0.032*** (-2.60)	-0.021*** (-3.48)	-0.015** (-2.16)
Other ESG fund	-0.009 (-1.26)		-0.010** (-2.32)	
Expense ratio	-0.802 (-0.78)	6.595*** (3.21)	-5.532*** (-8.91)	-5.019*** (-4.52)
Turnover ratio	0.003 (0.65)	-0.005 (-0.68)	0.016*** (5.78)	0.016*** (3.17)
Log(TNA)	0.023*** (12.70)	0.025*** (7.91)	0.000 (0.27)	-0.007*** (-3.66)
Sample	All funds	ESG funds	All funds	ESG funds
N	10,362	3,450	25,984	8,682
Adjusted R-squared	.021	.020	.005	.004

This table examines funds' tendency to vote in a one-size-fits-all manner. Committed and other ESG funds are classified using the LL measure. For each fund-agenda item-year pair, we calculate the absolute difference in the number of proposals a fund votes for and against the agenda item, scaled by the total number of proposals, during the following 5-year period. When the measure is higher, the fund is more likely to vote in a one-size-fits-all manner. We then regress this measure on ESG fund type dummies, and a set of fund characteristics as defined in Table 1. The sample includes ESG agenda items with a positive historical passing rate. Columns 1 and 2 examine E&S proposals, and columns 3 and 4 examine governance proposals. The odd (even) columns include all (ESG) funds. t-statistics are in parentheses. * $p < .1$, ** $p < .05$, *** $p < .01$

(a) Table 5: One-size-fits-all voting

Table 6
ESG performance changes following severe ESG risk incidents

	(1) $\Delta RRI_{i,t+1}$	(2) $\Delta RRI_{i,t+2}$	(3) $\Delta RRI_{i,t+3}$	(4) $\Delta RRI_{i,t+4}$
Committed ESG buy $\times$ High engagement with firm	-3.669** (-2.17)	-7.234*** (-3.89)	-6.368*** (-2.95)	-4.747** (-1.99)
Committed ESG buy $\times$ Low engagement with firm	-1.661 (-1.12)	-1.870 (-1.09)	-1.791 (-0.82)	0.749 (0.31)
Committed ESG sell	-1.932 (-1.54)	-2.503* (-1.70)	-3.498* (-1.93)	-2.591 (-1.27)
Other ESG buy	-2.457* (-1.88)	-0.768 (-0.56)	-0.437 (-0.26)	1.614 (0.80)
Other ESG sell	-1.670 (-1.37)	0.571 (0.36)	2.069 (1.16)	3.226 (1.52)
Time FE	Y	Y	Y	Y
Firm controls	Y	Y	Y	Y
N	1,926	1,811	1,746	1,658
Adjusted R-squared	.084	.135	.189	.203
p-value of high - low	.243	.015**	.074*	.067*

This table examines whether committed funds' engagement helps improve ESG performance following severe ESG risk incidents. Committed and other ESG funds are classified using the LL measure. For each proposal j of firm i , we calculate committed funds' average likelihood of voting against the ISS recommendation. We then calculate proposal j 's abnormal likelihood of independent voting by committed funds relative to all proposals in the same industry with the same agenda type in the past 2 years. The average of this abnormal independent-voting measure across all proposals of firm i in the past 2 years is used to measure committed funds' level of engagement with the firm. Firms with above-median levels of engagement by committed funds are coded as under "High engagement with firm"; otherwise, under "Low engagement with firm". The dependent variables are changes of RRI in percent, from quarter t to quarter $t+k$, where k ranges from 1-4 quarters. The independent variables include indicator variables *Committed ESG buy*, its interaction terms with *High engagement with firm* and *Low engagement with firm*, *Committed ESG sell*, *Other ESG buy*, and *Other ESG sell*. *Committed ESG buy (sell)* is a dummy variable indicating intensive buy (sell) by committed ESG funds if the stock is in the top (bottom) quintile among committed ESG funds' trading of all stocks during quarter t . *Other ESG buy* and *Other ESG sell* are defined analogously. Control variables include firm size proxied by the logarithm of market capitalization, book-to-market, and stock returns during quarter t . All regressions include time fixed effects. Standard errors are clustered at the firm level. t-statistics are in parentheses. * $p < .1$, ** $p < .05$, *** $p < .01$

(b) Table 6: ESG performance changes following severe ESG risk incidents

5.5 Table 7: Real effects of investments by ESG funds; Table 8: ESG fund performance

Read:

- Table 7 uses the 2016 introduction of Morningstar Sustainability Ratings as a shock to ESG fund ownership.
- Panel A uses RepRisk. High committed ESG overweight $\times$ Post is negative in the full sample (-0.206^*), stronger for high-engagement firms (-0.260^{**}), and strongest when committed funds are top investors (-0.339^{**}).
- Panel B uses Trucost emissions. High committed ESG overweight $\times$ Post is -0.071^{**} in the full sample, -0.139^{**} for high-engagement firms, and -0.140^{**} where committed funds are top investors.
- Other ESG overweight does not produce the same consistent improvements.
- Table 8 shows that committed ESG funds do not outperform other ESG funds across all holdings: the all-stock coefficient is 0.084 and insignificant.
- Outperformance appears where the engagement channel predicts it should: long-holding-period positions (1.002^{***}), high-engagement stocks (0.677^{***}), and high-engagement stocks with RRI or emissions improvements.
- In the high-engagement/improvement subportfolios, committed ESG funds outperform by 1.546^{***} for RRI improvement and 1.712^{***} for Trucost emissions improvement.

Economic message: Table 7 addresses the selection critique: improvements occur after a plausibly exogenous increase in ESG fund ownership and are concentrated among committed, engaged, influential holders. Table 8 shows that the value creation is not generic fund skill but is concentrated exactly where committed engagement is more likely to work.

Table 7
Real effects of investments by ESG funds

A. Using RepRisk

	(1) Full sample	(2) High engagement	(3) Low engagement	(4) Committed top investor	(5) Other top investor
High committed	-0.206*	-0.260**	-0.192	-0.339**	0.040
ESG overweight $\times$ Post	(-1.81)	(-2.50)	(-1.11)	(-2.48)	(0.18)
High other ESG	-0.113	0.085	-0.235	-0.136	-0.125
overweight $\times$ Post	(-1.08)	(0.92)	(-1.47)	(-1.00)	(-0.78)
Controls	Y	Y	Y	Y	Y
Firm FE	Y	Y	Y	Y	Y
Time FE	Y	Y	Y	Y	Y
N	5,113	2,396	2,340	3,115	1,998
Adjusted R-squared	.493	.512	.477	.475	.526
p-value of the difference	.578	.020**	.861	.323	.584

B. Using Trucost Emission

High committed ESG	-0.071**	-0.139**	0.002	-0.140**	0.033
overweight $\times$ Post	(-1.99)	(-2.52)	(0.05)	(-2.57)	(0.69)
High other ESG	0.039	0.005	0.076	0.170***	-0.065*
overweight $\times$ Post	(1.10)	(0.09)	(1.62)	(2.74)	(-1.67)
Controls	Y	Y	Y	Y	Y
Firm FE	Y	Y	Y	Y	Y
Time FE	Y	Y	Y	Y	Y
N	4,451	2,171	2,170	2,089	2,362
Adjusted R-squared	.973	.968	.977	.957	.983
p-value of the difference	.040**	.079*	.311	.000***	.133

This table examines whether investments by ESG funds help improve portfolio firms' ESG performance using the introduction of the *Morningstar Sustainability Rating* as an exogenous shock to firms' investments by ESG funds. Committed and other ESG funds are classified using the LL measure. The unit of observation is at the stock-year level. The dependent variables are the natural logarithm of the RRI (panel A) and the natural logarithm of a firm's onsite release from the Trucost Environmental emission data (panel B). For each stock held by ESG funds as of the last quarter of 2015, we calculate the stock's portfolio overweight by committed (other) ESG funds as the stock's weight in committed (other) ESG funds' aggregate portfolio relative to its market portfolio weight. The dummy variable *High committed (other) ESG overweight* is equal to 1 if the stock is ranked in the top quintile by the overweight measure. The dummy variable *Post* is equal to 1 for years after 2015, and 0 otherwise. Column 1 examines the real effects on all firms. In columns 2 and 3, we examine heterogeneity in the level of engagement by committed ESG funds, where *High engagement* is defined as firms with above-median abnormal independent voting by committed funds as described in Table 6. In columns 4 and 5, we examine heterogeneity in terms of committed fund families being top-10 investors of the firm. Column 4 includes firms with committed ESG families in their top-10 investor list, and column 5 includes all other firms. The p-values of the tests of the difference in coefficient estimates are reported at the bottom of each panel. All regressions control for the logarithm of market capitalization, book-to-market, 12-month returns during the year, firm and time fixed effects. Standard errors are clustered at the firm level. t-statistics are in parentheses. * $p < .1$, ** $p < .05$, *** $p < .01$

(a) Table 7: Real effects of investments by ESG funds

Table 8
ESG fund performance

A. DGTW characteristics-adjusted abnormal returns of fund portfolios

	All stocks (1)	Long holding- period stocks (2)	Short holding- period stocks (3)	High engagement stocks (4)	Low engagement stocks (5)
Committed ESG fund	0.084 (0.74)	1.002*** (4.89)	0.010 (0.07)	0.677*** (3.25)	-0.092 (-0.85)
Fund controls	Y	Y	Y	Y	Y
Time FE	Y	Y	Y	Y	Y
N	9,866	8,951	9,831	8,998	8,934
Adjusted R-squared	.042	.021	.043	.028	.023

B. Performance effects of engagement and ESG improvement

	High engagement with RRI improvement (1)	High engagement without RRI improvement (2)	High engagement with Trucost improvement (3)	High engagement without Trucost improvement (4)
Committed ESG fund	1.546*** (3.66)	0.778** (2.17)	1.712*** (3.74)	0.834** (2.36)
Fund controls	Y	Y	Y	Y
Time FE	Y	Y	Y	Y
N	8,334	8,274	7,019	7,174
Adjusted R-squared	.056	.048	.059	.042

This table analyzes ESG fund performance. The dependent variable is the DGTW characteristic-adjusted abnormal returns of fund portfolios over the next year, following Daniel et al. (1997). Committed and other ESG funds are classified using the LL measure. In column 1 of panel A, we compare the performance of committed and other ESG funds across all holdings. In columns 2 and 3, we separately calculate the DGTW characteristic-adjusted abnormal returns of long versus short holding-period portfolios of each fund and compare fund performance within each subportfolio. For each stock in a fund's portfolio, we calculate its holding period following Cremers and Pareek (2016), and stocks with a holding period of over 2 years are denoted as long holding-period stocks. In columns 4 and 5, we partition a fund's portfolio firms into high- and low-engagement groups. For each proposal of firm i , we calculate fund j 's abnormal independent voting relative to the average likelihood of independent voting across all proposals in the same industry and with the same agenda type in the past 2 years. We then aggregate this abnormal independent-voting measure across all of firm i 's proposals voted by fund j in the past 2 years as a proxy for the fund's level of engagement with firm i . In panel B, we focus on firms heavily engaged by committed funds and split them into those experiencing reductions of their RRI (columns 1 and 2) or Trucost emissions (columns 3 and 4), and other stocks. We then compare the performance between committed and other ESG funds within each subportfolio. Independent variables are the *Committed ESG fund* dummy, the expense ratio, the turnover ratio, the natural logarithm of fund TNA, the ICI, active share, past-year return and flow volatility, and past-year performance. All regressions include time fixed effects. Standard errors are clustered at the fund level. t-statistics are in parentheses. * $p < .1$, ** $p < .05$, *** $p < .01$

(b) Table 8: ESG fund performance

6 Short summary

- The paper studies whether all ESG funds should be expected to influence portfolio firms.
- It distinguishes ESG funds by incentives to engage, not simply by how many ESG stocks they hold.
- Committed ESG funds and other ESG funds each hold about 39% of TNA in high-ESG stocks.
- Committed funds have higher active share, higher industry concentration, and stronger validation scores on engagement-oriented external measures.
- Committed funds acquire more ESG-related information around severe ESG news by downloading more EDGAR filings.
- Other ESG funds are more likely to sell following severe ESG incidents, while committed funds are more patient.
- Analysts from committed fund families are more likely to ask ES questions in earnings calls.
- Committed funds are more likely to vote independently from ISS and less likely to vote in a one-size-fits-all manner.
- Firms bought and strongly engaged by committed funds after severe ESG incidents experience larger subsequent decreases in RRI.
- The Morningstar Sustainability Rating shock shows that committed fund overweight positions lead to improvements in both RRI and emissions.
- Committed funds do not outperform in the full portfolio, but they outperform in long-held, high-engagement, and successful-engagement subportfolios.
- Investor flows do not appear to reward committed funds sufficiently, suggesting that investors may not distinguish between ESG labels and meaningful engagement incentives.

7 Conclusion

7.1 Core conclusion

Lowry, Wang, and Wei show that ESG funds are not homogeneous. Funds with similar ESG portfolio weights can behave very differently depending on their incentives to engage. The paper’s central conclusion is that **committed ESG funds**—those with stronger incentives to engage—are more likely to monitor ESG risk, retain ownership after ESG incidents, engage through conference calls and voting, and generate measurable improvements in firms’ ESG outcomes.

7.2 Mechanism

The mechanism has four connected steps.

1. **Incentives.** A fund’s concentrated or active positions make improvements in portfolio firm value more valuable to the fund manager through both direct AUM effects and flow-performance effects.
2. **Information.** Because engagement requires information, committed funds acquire more firm-specific ESG information, especially around severe ESG incidents.
3. **Voice instead of exit.** Rather than selling after negative ESG news, committed funds stay invested and use engagement tools such as questions, voting, and firm-specific proposal evaluation.
4. **Impact and returns.** When engagement is intense and successful, portfolio firms’ ESG risk and emissions decline, and committed funds earn higher abnormal returns on those specific holdings.

7.3 Interpretation for ESG investing

The results imply that simply measuring sustainable investment by dollars invested in high-ESG firms is incomplete. A fund can hold many high-ESG stocks and still have little effect on firm behavior if it lacks incentives to engage. Conversely, a fund with meaningful engagement incentives can create impact even without relying on divestment. This distinction helps reconcile conflicting evidence in the ESG literature: some ESG funds may be genuine monitors, while others may mostly provide ESG exposure.

7.4 Implications for investors

For investors, the paper suggests that fund labels and portfolio ESG scores are insufficient. Investors should ask whether the fund has incentives and mechanisms to engage:

- Does the fund family have a clear engagement process?
- Does the fund vote independently and selectively?
- Does the fund hold positions long enough for engagement to matter?
- Does the fund have sufficient ownership influence at portfolio firms?

The flow evidence suggests that average investors may not yet distinguish committed ESG funds from other ESG funds, creating a potential information problem in the ESG fund market.

7.5 Implications for regulators

For regulators, the findings imply that disclosure focused only on holdings-based ESG scores may miss the central channel of impact. A more informative ESG disclosure regime would distinguish:

- ESG portfolio composition;
- engagement policies and engagement resources;
- voting behavior and proxy-advisor dependence;
- evidence of outcomes at portfolio firms.

The paper therefore supports a shift from *what ESG funds hold* to *what ESG funds do*.

7.6 Limitations and open questions

Several limitations remain. The paper cannot observe all private engagements, so measured engagement is incomplete. ESG outcomes such as RRI and emissions are useful but imperfect. The Morningstar shock improves causal interpretation, but it is not a randomized experiment. Finally, the evidence is focused on actively managed U.S. domestic equity mutual funds from 2013 to 2020, so the strength of the mechanism may differ in other countries, asset classes, or passive fund settings.

7.7 Takeaway

The paper's main takeaway is that ESG fund impact depends on incentives and engagement, not labels. Committed ESG funds appear to use ESG engagement as a value-creation strategy, and the evidence suggests that this strategy can improve both firm ESG outcomes and fund performance in the subset of holdings where engagement is intense and effective. Other ESG funds may hold similar ESG portfolios, but they do not show the same pattern of information acquisition, engagement, impact, or targeted outperformance.